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UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF WEST VIRGINIA

In re: EXAMPLE DEBTOR, LLC, Debtor. JANE E. SAMPLE, Chapter 7 Trustee for the bankruptcy estate of Example Debtor, LLC, Plaintiff, v. EXAMPLE TRANSFEREE, LLC; and JOHN Q. EXAMPLE, Defendants.	Chapter 7 Case No. 1:26-bk-00000 Judge Hon. Example Judge Adv. Pro. No. 1:26-ap-00000 Motion Docket No. 1

MOTION OF DEFENDANT EXAMPLE TRANSFEREE, LLC TO DISMISS ADVERSARY COMPLAINT, WITH MEMORANDUM OF LAW IN SUPPORT

NOTICE OF OPPORTUNITY TO OBJECT

Defendant Example Transferee, LLC has filed a motion to dismiss the adversary complaint. An order may be entered granting the relief sought unless a specific written objection is filed within twenty-one (21) days of the date of the mailing of this notice. Any objection must be filed with the Clerk of the Bankruptcy Court and served on counsel for the movant. If no timely objection is filed, the Court may enter the order without further notice or hearing.

Defendant Example Transferee, LLC ("Transferee") moves to dismiss Counts I and II of the Adversary Complaint (the "Complaint") filed by the Chapter 7 trustee (the "Trustee"), under Federal Rule of Civil Procedure 12(b)(6), made applicable by Federal Rule of Bankruptcy Procedure 7012(b). The grounds are stated below, and the relief requested is an order dismissing Counts I and II as against Transferee. This motion is supported by the following memorandum of law.

RELIEF REQUESTED

Transferee asks the Court to dismiss Count I (avoidance under 11 U.S.C. § 548) and Count II (avoidance under 11 U.S.C. §§ 544(b) and 550) for failure to state a claim. Count III is not addressed by this motion and is reserved.

BACKGROUND

The Complaint alleges that the Debtor transferred equipment, cash and receivables to Transferee in January and February 2026, for less than reasonably equivalent value, while insolvent. Compl. ¶¶ 13–21. It pleads two avoidance theories: actual intent under § 548(a)(1)(A) (Count I), and constructive fraud under § 548(a)(1)(B) (Count I), together with avoidance under § 544(b) by reference to unnamed unsecured creditors and unnamed state law (Count II). Compl. ¶¶ 25–31.

The Complaint does not allege the identity of any creditor who could have avoided the Transfers under state law on the petition date, and it does not identify the state-law provision on which Count II rests. The allegations that the Debtor was insolvent when it made each transfer are stated as conclusions. Compl. ¶¶ 19–20.

STANDARD OF REVIEW

A complaint must contain "sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). Labels, legal conclusions and a formulaic recitation of the elements do not suffice. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007). A court considering a motion under Rule 12(b)(6) accepts well-pleaded facts as true, but not conclusions. *Iqbal*, 556 U.S. at 678–79.

ARGUMENT

Count I does not plead facts supporting actual intent

The Complaint pleads actual intent only in the words of the statute. Compl. ¶ 25. It does not plead any badge of fraud beyond the timing of the transfers and their recipient's insider status. The Complaint's own allegations, read as a whole, describe a debtor that was paying an insider's claim, which is not by itself evidence of intent to hinder, delay or defraud creditors. The Trustee must plead facts that make intent plausible, and the Complaint does not do so.

Count I does not plead constructive fraud with specificity

Section 548(a)(1)(B) requires that the Debtor received less than reasonably equivalent value and was insolvent when it made the transfer, or became insolvent as a result of it. The Complaint pleads both elements in conclusory terms. Compl. ¶¶ 18–19, 26. The only fact offered on value is an appraisal figure for the equipment, Compl. ¶ 17, which does not address the cash transfer or the receivables transfer at all, and which the Complaint does not connect to the insolvency allegations.

Count II does not identify an avoiding creditor

Section 544(b) allows the trustee to avoid a transfer only where an actual unsecured creditor holding an allowable claim could avoid it under applicable non-bankruptcy law. *See* 11 U.S.C. § 544(b)(1). The Complaint does not name such a creditor, does not identify a claim that existed on the petition date, and does not identify the state-law provision on which avoidance rests. Paragraph 30 recites that "at least one" creditor exists, which is the kind of formulaic statement *Twombly* holds insufficient. *Twombly*, 550 U.S. at 555.

Dismissal should be with prejudice only as to the defective theories

The Court should dismiss Counts I and II. Transferee does not ask the Court to decide the merits of the Trustee's theories. The defects identified above concern what the Complaint pleads, and the Trustee may seek leave to amend under Rule 15, made applicable by Rule 7015, if the defects can be cured.

CONCLUSION

For these reasons, Transferee respectfully requests that the Court enter an order dismissing Counts I and II of the Complaint as against Transferee, and granting such other relief as the Court deems just.

Dated: October 14, 2026

Respectfully submitted,

s/ Sample Defense Counsel
Counsel for Defendant Example Transferee, LLC
WVSB No. 00001

CERTIFICATE OF SERVICE

I certify that on October 14, 2026, I served through the CM/ECF system and by first-class United States mail, postage prepaid, the foregoing Motion of Defendant Example Transferee, LLC to Dismiss Adversary Complaint, with Memorandum of Law in Support and this certificate of service, which were served on the following parties:

Sample Counsel, Esq., counsel for Plaintiff Chapter 7 Trustee
100 Example Street, Suite 200, Wheeling, West Virginia 26003

John Q. Example
1 Example Road, Wheeling, West Virginia 26003

Office of the United States Trustee, Region 4
Sample Federal Building, Clarksburg, West Virginia

s/ Sample Defense Counsel
Counsel for Defendant Example Transferee, LLC
WVSB No. 00001